Investor business plan

A character world with an operating plan.

One pilot. A phased build. A clear test of the economics.



LEARN / MOVE / EXPLORE / BELONG

Current controls: 11 October 2026. Full original reference material follows the current plan. Earlier financial assumptions are superseded by the 687-row cost ledger and monthly forecast.

Current Investor Business Plan

A fuller plan. A costed path forward.

Prepared: 11 October 2026 **Operating case:** one pilot location, ages 2-5 **Financing concept:** proposed $1,500,000 no-equity loan; terms unagreed **Status:** current planning narrative; subject to diligence, quotes, acceptance gates, and counsel review

> This document is current planning material. It distinguishes public proof, planning assumptions, allowances, quotes still required, and paid actuals. It does not present unverified enrollment, receipts, accreditation, hosted operation, or repayment capacity as fact.

1. Executive case

Futures Friends is a bilingual early-learning system for children ages 2-5. It joins a character-led curriculum, family activities, movement, nutrition, classroom learning zones, physical merchandise, professional support, and a planned digital platform. Booker learns, Lumi belongs, Zuri explores, and Bop moves. The purpose is practical: give adults a usable rhythm for the day, give children a warm and memorable way into learning, and give families a clear connection to what happens in the room.

The first operating case is one pilot location. The reusable offer is intended to support future daycares, home daycares, churches, pre-K partners, families, and employers after the pilot proves safety, delivery, retention, unit economics, and demand. Those future channels are opportunities, not contracted receipts.

The proposed financing is a **$1,500,000 maximum staged no-equity facility**. The working structure is 12% fixed nominal interest on drawn principal only, a 24-month draw window and interest-only period, then 84 monthly amortizing payments ending in month 108. The first draw is TBD and must be supported by an approved, quote-backed phase. Principal, rate, points, collateral, covenants, reporting, repayment dates, and any fees remain subject to an agreed instrument and counsel review. No permanent ownership, conversion, perpetual royalty, or prepayment penalty is offered. No return is guaranteed.

The current full-scope model reconciles to **$3,139,152.61 gross first-year cash requirement** in the base case. The difference versus the proposed loan is **$1,639,152.61 before receipts, scope changes, and financing costs**. This is a scope and staging problem to solve before closing, not a gap to hide in a headline.

2. The customer problem

A childcare operator must keep children safe, meet ratios and rules, support different ages, communicate with families, train staff, and maintain a consistent program while the room is busy. A family wants to know what a child is learning and how to continue it at home. A church or home provider needs a right-sized program that looks professional without taking on a center-sized system.

Most tools solve only one part of that problem: administration, billing, a curriculum library, a classroom decoration package, or a family app. Futures Friends is designed as a connected operating and learning system. The claim is not that the product has already displaced those tools. The claim is that a coordinated character world, room experience, learning plan, adult support, and digital record can be tested as one offer.

3. Product and brand system

3.1 The four pillars

- **Booker - Learn:** early literacy, storytelling, listening, courage to try again, and language-rich routines.
- **Lumi - Belong:** social-emotional learning, empathy, calm, relationships, and participation.
- **Zuri - Explore:** curiosity, questions, nature, discovery, and hands-on investigation.
- **Bop - Move:** physical activity, self-regulation, healthy routines, and movement breaks.

The characters are a teaching language, not an open-ended chatbot. Child-facing communication uses a finite, adult-approved message library. Adults decide what appears, when it appears, and what action follows. No unrestricted child AI is part of the operating promise.

3.2 The learning day

The program connects a short story or character prompt to teacher talk, a hands-on activity, movement, an exploration zone, and a family take-home question. The same idea can appear in a classroom, a home daycare, a church program, or a family living room at a different level of complexity.

Core content areas include early literacy, social-emotional learning, movement, food and nutrition, art, music, nature, practical routines, and family engagement. Eat the Rainbow and movement plans are program components. The educator and registered-nurse reviews currently documented are limited to the materials reviewed; they are not accreditation, certification, medical advice, or regulatory approval.

3.3 Bilingual requirement

English and Spanish are product-wide requirements across parent materials, learning content, support, portals, key operations, labels, and training. Translations need human review before release. A translated draft is not an approved production asset, and Spanish availability must be tracked by asset and version.

3.4 Physical learning zones and merchandise

The room system translates the four pillars into coordinated carpets, posters, symbols, signs, books, plush, apparel, welcome materials, QR habit cards, and classroom tools. Branded carpets and matching posters are a potential B2B product for other organizations, subject to artwork approval, minimum quantities, deposits, production lead times, freight, storage, fulfillment, defects, and returns.

Catalog pricing is not margin. Supplier quotes, freight, payment fees, inventory terms, fulfillment labor, taxes, returns, and minimum order quantities must be captured before a product is sold as a profitable line. The current store direction is order-request based; a settled payment and fulfillment path remains a release gate.

4. Platform and operating architecture

The public website demonstrates brand, information architecture, activities, character world, family content, pilot-center information, commerce direction, portal concepts, and learning-zone language. It is visual/static evidence. It is not evidence that a hosted multi-tenant Hub, production enrollment system, billing flow, or live school platform is operating.

The planned platform roles are:

- **Director:** center setup, staffing visibility, program configuration, approvals, reports, and billing administration.
- **Teacher:** daily plans, assigned activities, observations, child work, classroom routines, and family notes within assigned permissions.
- **Parent or guardian:** consent, child link, family activities, messages, progress summaries, and account controls.
- **Adult-mediated Kid Mode:** approved activities, work submission, character prompts, and age-appropriate navigation; no unrestricted chat.
- **Support:** documented issue handling with limited access to the minimum information required.
- **Partner or HQ:** implementation, training, catalog, and aggregate service reporting without unauthorized tenant financial access.

A production release must prove authentication, role separation, organization isolation, persistence, billing, backups and restores, audit logs, accessibility, performance, security, privacy, consent, and real-device behavior. Parent and staff experiences must remain separate. A browser screen or local preview does not prove these controls.

4.1 CRM and ATS scope

The commercial system needs a CRM pipeline for center, church, home-provider, school, employer, and family leads; source and campaign tracking; contacts and organizations; discovery notes; demos; quotes; deposits; contracts; onboarding; support history; renewals; and revenue attribution. It needs role permissions, audit history, deduplication, import/export, email or messaging integration, consent records, and reporting.

The recruiting system needs positions, applicants, source tracking, structured screening, interview stages, notes, background-check status, credential and training records, references, offer records, onboarding tasks, reminders, and retention reporting. It must separate sensitive candidate information from child and family data. Build-versus-buy must be evaluated with published subscription prices, implementation costs, data ownership, export terms, and vendor security documentation.

5. Center workflow and service delivery

The first pilot should be treated as a measured implementation, not as proof of a scaled network. The operating sequence is:

- Confirm the legal borrower, host agreement, license or exemption position, capacity, insurance, age mix, hours, and ratio plan.
- Complete room and zone setup, approved materials, staff orientation, safeguarding procedures, and parent onboarding.
- Run the daily plan for four weeks while recording attendance, completed activities, family participation, support requests, incidents, and staff time.
- Review the evidence with the director, educators, families, curriculum reviewer, and operations owner.
- Correct content, translations, workflows, or room materials before offering the package to another organization.

The package should be sold around a measurable outcome: a daily rhythm staff can follow, a parent can understand, and a director can inspect. Every setup quote should specify materials, training hours, implementation support, delivery dates, renewal scope, cancellation terms, and what the buyer must provide.

6. Content and production plan

The forward production assumption is **12 fully animated episodes at approximately 7 minutes each**, or **84 minutes total**, plus launch promos and short habit or special clips. This is proposed future scope, not completed or funded delivery. Older six-minute and 13-episode references remain historical until one dated schedule, rights plan, vendor scope, and budget are approved.

The current content facet is **$539,647** in the cost model. The character-animation line is a **provisional $122,640 labor allowance for 84 minutes**. It explicitly excludes audited but mixed-project Higgsfield account observations, credits, render usage, licenses, contractor invoices, voice, music, post, storage, and other production costs. The Higgsfield audit found $565 in Oct. 8 account debits ($375 + $190); the account is mixed-project evidence, so this is not all attributable to Futures Friends. Ultra is $375/month for 9,000 credits through Nov. 8. A 7-day audit generated 97 seconds across 11 generations using 1,164 credits, with $46.56 displayed at $0.04/credit. A three-month view shows 55,188.75 credits and $2,207.55 displayed across mixed projects. These are audited account observations, not a finished-season quote.

The older **$842,000 content/production envelope**, and its **$994,000** version with prior contingency, are superseded, non-authoritative scope references. The authoritative budget is the 687-row ledger. The production-specific subset is the $539,647 content facet; the $122,640 line covers 84 episode minutes only and does not by itself cover QR/promos, voice, music, bilingual adaptation, captions, editing, rights, review, storage or delivery. Existing separate rows must be reconciled by row ID before coverage or totals are claimed. The production gate is script approval, character continuity, storyboard, animation test, voice and music rights, captions, Spanish review, child-development review, final render, archive, and delivery record.

7. Revenue architecture

Revenue opportunities are staged and currently uncontracted:

- pilot-center tuition and program operations;

- implementation and recurring support for daycares and church programs;
- recurring platform, family, and partner subscriptions after hosted role flows are accepted;
- curriculum, training, and professional-development packages;
- learning-zone kits, branded carpets, posters, classroom materials, QR habit packs, books, plush, apparel, and welcome materials;
- tablet sales or rentals with device management, subject to device, privacy, safety, and legal review;
- licensing and distribution of approved stories, characters, curriculum, and media;
- future church, daycare, home-provider, school, and employer partnerships.

A center's tuition is operating revenue. A provider setup fee and monthly membership are service revenue. Merchandise is sales revenue. Licensing is contract revenue. These streams need separate ledgers, margins, fulfillment rules, refund policies, and customer support measurements.

No partner receipts, customer contracts, signed purchase orders, or recurring revenue should be presented as secured without documents. The forecast receipts are illustrative stress inputs, not actual sales. Recurring income is not passive: it requires onboarding, curriculum maintenance, support, billing, data protection, training, replacement materials, and a cancellation policy.

8. Go-to-market and proof plan

Start with the Independence and Kansas City area and a supported pilot. The first commercial proof should be one center or home provider with a defined room or zone, staff onboarding, parent orientation, four weeks of use, and a before-and-after report. A church-specific offer and a home-provider offer should have their own landing pages, package scope, and buyer language.

The sales sequence is: short demonstration; site and capacity discovery; written fit and quote; deposit; setup; staff training; parent launch; 30-day review; monthly renewal. The system should record inquiry source, tour attendance, deposit date, first payment, churn, support hours, and gross margin by offer.

Useful proof is signed pilot agreements, paid setup invoices, renewal rate, staff completion, parent participation, attendance, completed activities, incident and complaint trend, time saved by the director, response time, and contribution margin. Until those records exist, they are targets.

9. Cost model and evidence discipline

The source model contains **687 rows**: **133 source-referenced lines** and **554 planning allowances**. Every investor-facing line must retain its evidence type: published source/reference price, local wage benchmark, comparable, planning allowance, written quote pending, or paid actual. A source reference does not mean the quantity or scope has been quoted.

Case	Gross year-one requirement	One-time	Recurring	Inventory	Refundable deposit	Reserve	Monthly recurring
Low	$2,616,874.61	$1,052,277.01	$1,118,444.09	$21,527.50	$7,200.00	$417,426.01	$93,203.67
Base	**$3,139,152.61**	$1,345,120.33	$1,266,942.18	$24,509.50	$9,000.00	$493,580.60	$105,578.52
High	$3,963,953.40	$1,833,475.96	$1,477,610.07	$28,237.00	$11,250.00	$613,380.37	$123,134.17

Gross cash requirement is not operating expense. Reserves and refundable deposits are liquidity requirements; they are not spent revenue or profit. The model's post-substitution year-one operating spend is $1,244,842.18 in the base case. The proposed loan does not cover the displayed full-scope gross requirement.

The model uses one location, ages 2-5, a 40-child capacity planning case, recurring monthly costs, one-time phased costs, no automatic expansion, and 3% annual recurring inflation after year one. These are model assumptions, not current operating

records. Current primary evidence does not yet prove licensed capacity, enrollment, attendance, tuition collections, staffing/payroll, rent, cash, reserves, debt, or food permits.

10. Debt stress and repayment discipline

The full-draw stress illustration models **$1,500,000 at 12% annual interest**, 24 months interest-only at **$15,000 per month**, then 84 months at approximately **$26,479.10 per month**. This is a model, not an offer or promise. It assumes full funding at closing only for stress testing; the proposed first draw is TBD and staged advances accrue interest only when drawn. No points, fees, capitalized interest, penalty, collateral, personal guaranty, or revenue participation should be implied until written.

The base scenario uses year-one illustrative net receipts of **$370,784.80** and year-one operating cash before debt of **-$874,057.38**. Minimum ending available cash is **-$7,925,030.01**; downside is **-$9,067,210.80** and upside is **-$6,323,896.04**. The zero-receipt case has a $10,659,950.60 cash shortfall beyond the modeled $1.5M opening loan draw. These shortfalls are additional capital needs, not total opening capital. All current stress cases fail repayment coverage. The responsible conclusion is to stage draws, reduce scope, secure verified receipts, or identify additional capital before representing repayment as viable.

The investor should see this weakness because it defines the decision: fund a gated proof phase with a revised draw and cash plan, or do not close the full-scope facility until the model is underwritten. No return is guaranteed.

11. Use of funds and staging logic

The $1.5M maximum should be allocated only after the gross model is reconciled into approved phases. A practical sequence is:

- **Readiness:** legal entity, license/capacity evidence, host agreement, insurance, privacy and safeguarding review, vendor quotes, bank records, and a 13-week cash forecast.
- **Pilot completion:** one location, ages 2-5, staff preparation, approved content, room materials, parent onboarding, and real-device acceptance.
- **Platform acceptance:** hosted authentication, roles, organization isolation, persistence, billing, backups/restores, logs, accessibility, performance, security, privacy, and support workflows.
- **Content release:** scripts, character continuity, animation test, voice/music rights, captions, Spanish review, child-development review, and delivery archive.
- **Measured expansion:** only after attendance, retention, completed work, family participation, support load, contribution margin, and signed demand are documented.

The budget is not complete until every row is classified as committed, quoted, allowance, benchmark, or decision pending; duplicated scope is removed; taxes, freight, payment fees, and support labor are assigned; and the phase total fits the approved draw.

12. Competitive position

Brightwheel, Procare, and Lillio are established alternatives in center administration, billing, family communication, and learning support. Futures Friends should not win by pretending those products are incomplete. The test is whether an operator wants this particular connected learning program and the support to use it in the room.

Buyer question	Established alternatives	Futures Friends case to prove
Can the operator manage attendance, billing, and family messages?	Existing administration platforms have mature workflows.	Integrate with or replace only a defined workflow after acceptance testing.
Can staff use a coherent classroom program?	Operators may already own curriculum and room materials.	Connect characters, zones, stories, food, movement, home activities, and training.

Buyer question	Established alternatives	Futures Friends case to prove
Can families see value beyond childcare?	Communication tools may show updates without a learning system.	Show a consistent classroom-to-home rhythm and measured participation.
Can a church or home provider use it at the right size?	Large systems may be too broad or too costly for a small program.	Offer a defined smaller implementation with clear support and renewal terms.

The potential advantage is the combination of owned characters and curriculum, bilingual delivery, physical/digital integration, adult-mediated child safety, and provider support. It is potential until adoption, retention, outcomes, contracts, rights, and operating records prove it.

13. Risks and controls

Capital mismatch: The loan concept is smaller than the gross model. Control with phase gates, revised scope, additional capital analysis, and no undisclosed assumptions.

Unsecured revenue: Future partners, subscriptions, church programs, merchandise, licensing, and expansion are not receipts until contracted and collected. Control with signed pilots, deposits, invoices, and separate revenue ledgers.

Operating record gap: Capacity, enrollment, staffing, rent, food, and collections require primary records. Control with license, lease, roster, payroll, bank, insurance, and permit diligence.

Platform readiness: Public pages do not prove hosted multi-tenant operation. Control with role-flow tests, persistence tests, isolation tests, backups/restores, security review, accessibility, performance, and real-device sign-off.

Child privacy and safeguarding: Child data, photos, family accounts, tablet identifiers, and messages require counsel-reviewed consent, retention, access control, incident response, and vendor agreements. Control with a written data map and release gate.

Content rights and cost: Character, voice, music, animation, translation, and generation costs may overlap. Control with a rights chain, asset register, dated vendor scope, actual account debit reconciliation, and a non-additive envelope review.

Staffing and professional claims: Educator and nurse reviews do not create accreditation. Control with named reviewers, credential records, approval dates, and a clear boundary between advice, curriculum review, and regulatory approval.

14. Investor diligence and milestones

Before any draw, provide the legal borrower and IP records, license or exemption position, capacity and host agreement, insurance, current roster and attendance, tuition collection report, payroll and tax obligations, bank statements, debt schedule, vendor quotes, rights chain, data/privacy plan, and 13-week cash forecast.

The first 90-day milestone package should include a signed pilot scope, approved materials and translations, staff training record, parent consent flow, real-device test record, platform acceptance report, backup/restore test, first paid receipt, support log, and weekly cash reconciliation.

The first expansion decision should require a documented pilot review showing retention, attendance, completed activities, family engagement, support hours, unit economics, complaint and incident handling, and signed demand from the next organization. No automatic expansion should be funded from a slide assumption.

15. Source and version map

Primary current sources are:

- `investor/costs/Full_Cost_Model.json` - 687-row cost model and evidence types.

- `forecast/PHASED_MONTHLY_108M_FORECAST.json` - 108-month stress forecast and debt illustration; the earlier 72-month file is historical.
- `forecast/PHASED_MONTHLY_CASH.csv` and `forecast/PHASED_GROSS_SPEND_BY_ROW.csv` - cash and gross-spend detail.
- Operating-record audit - operating-record evidence boundary.
- `critic-review.md` - underwriting and repayment challenge.
- Current Production Bible and Operations Companion - program, character, platform, and acceptance detail.
- Public Futures Friends site - brand and static information architecture only.

Historical PDFs and older business-plan material remain reference material. They are not allowed to silently replace this current narrative or the current model. Any new number must carry its source, evidence type, date, quantity, scope, and owner for verification.

Higgsfield audit boundary

The account audit found two Oct. 8 debits totaling $565 ($375 + $190). The account includes mixed projects, so the amount is not presented as all Futures Friends spend. Ultra is 9,000 credits per month for $375 through Nov. 8. A seven-day audit recorded 11 generations, 1,164 credits, and 97 generated seconds; the displayed charge was $46.56 at $0.04 per credit. A three-month view recorded 55,188.75 credits and $2,207.55 displayed across mixed projects. A current 5,000-credit pack is $235 and expires after 90 days (about $0.047/credit). These are account observations, not a finished-season quote. The CNT-HIGGS planning estimate covers 102 finished minutes (84 season + 12 QR + 6 promo), at 12 credits/second with 3x/4x/6x retry planning assumptions; yield is not measured. Rounded 5,000-credit pack scenarios are 45 / 59 / 89 packs, costing $10,575 / $13,865 / $20,915. The scenarios exclude historical $565 and subscription double counting and have no overlap with the $122,640 human-labor allowance.

Current production-finance control note

Before batch production, approve a seven-minute episode, two QR clips and one bilingual promo. Record accepted-shot yield, rights, review and complete finishing costs. The account audit and budget reconciliation distinguish observed usage from planning allowances.

Why the proposed rate is 12%

12% fixed annual interest is a negotiation starting point, not a lender quote or market-average claim. Current prime is 7%; government-guaranteed and specialist lending benchmarks differ in borrower risk and security. In the full-draw stress case, the 84-month amortizing payment is approximately $26,479.10 and needs $33,098.88 in monthly cash before debt for 1.25x coverage. All four current forecasts fail coverage. See Futures_Friends_CURRENT_Loan_Pricing_Rationale.md for primary sources, sensitivity and terms to agree.

Original reference material

Investor business plan

The complete original document follows. Its narrative, curriculum and operational detail are preserved. Earlier numbers, readiness claims, financing and production envelopes are historical. The current controls at the front, the 687-row ledger and the 108-month forecast govern the decision.



01 / THE MASTER COLLECTION

A stronger classroom. A business built to renew.

Investor business plan / financing & repayment







CURRENT DEVELOPMENT ART / CLASSROOM CONCEPT

$240,000

Proposed business loan / Principal + interest / No equity

FULL WORKING MASTER / RELEASE AND UNDERWRITING GATES APPLY

THE INVESTMENT AT A GLANCE

Two engines. One repayment plan.

Give teachers a stronger daily program and families a clearer view of their child's day.

MONTH 24 / 60% PARTNER CONTRIBUTION CASE

CENTER

$5,060

34-child case; tuition cash after modeled operating costs.

PARTNER PROGRAMS

$1,954

20.76 expected active accounts; net recurring contribution.

$7,014

Cash before debt service

1.41x

Coverage of $4,982 / month

The operating target

15 active paid sites at 60% contribution, or 22 at 40%, alongside 34 center children, reach a 1.25x planning threshold. Setup receipts and merchandise are excluded.

Growth test, not proven cash flow: only $787/month above 1.25x coverage. A 4% tuition collection shortfall lowers combined coverage to 1.16x; 40% partner contribution gives 1.24x. Paid contracts, capacity, owner pay, tax and year-two spending remain unresolved.

Contents

The investment decision 5
Where the $240,000 goes 5
Two sources of repayment 6
Conditions before a draw 6
Investor business plan and financing brief 7
The opportunity 7
Borrower and team record 7
Current facts and what still needs proof 8
Product and customer 8
A room that explains the program 10
How the business can make money 11
Center cash model 11
Provider sales case and cash contribution 13
Debt coverage and milestones 13
Go-to-market 14
First market and service economics 14
Management and accountability 14
Use of funds 15
Proposed financing 16
Downside and repayment 17
Product status and lender conditions 17
Competition and position 19
The paid pilot and the next financing decision 20
Investor questions to answer before closing 21

HISTORICAL REFERENCE | Current controls at front supersede financial, scope and readiness assumptions.

Research and source record 22

Operating model 23

Restored operating detail from the original proposal 24

Financial diligence 28

Investor Underwriting and Financial Diligence Appendix 29

1. Model map and evidence hierarchy 30

2. Current underwriting conclusion 31

3. Operating assumptions and equations 31

4. Enrollment cases and monthly operating cash 32

5. $240,000 cash bridge 33

6. $140,000 alternative and $500,000 scale case 34

7. Uses of funds and controls against double counting 35

8. Diligence request list 35

9. Investor questions answered directly 36

10. Reconciliation ledger for the investor file 37

11. Reporting package after closing 38

12. Decision gates for each financing alternative 38

Partner expansion & repayment 40

Inputs and boundaries 41

Rollout cases 41

What the model says 42

Recurring coverage and limits 43

Additional receipts without permanent ownership 43

What makes expansion investable 44

Reproduction 44

HISTORICAL REFERENCE | Current controls at front supersede financial, scope and readiness assumptions.

The investment decision

Children need a place where learning, movement, meals and belonging fit together. Futures Friends turns that classroom experience into a program other daycares and church teams can adopt, with materials, training and ongoing support.

Request: $240,000 business loan. Repayment comes from center operations and paid partner programs. The lender receives principal and interest. No equity, conversion or permanent ownership is offered.

Alternative loan	Months 1-12 / month	Months 13-72 / month	Scheduled total
$140,000 proof launch	$1,050.00	$2,906.17	$186,970.18
$240,000 execution	$1,800.00	$4,982.01	$320,520.32
$500,000 later expansion	$3,750.00	$10,379.18	$667,750.66

Proposed structure: committed facility with staged advances, subject to negotiation. Illustration assumes full funding at closing: 9% annual interest, 12 interest-only months, then 60 amortizing payments. Staged draws require a new schedule. Fees and finite bonus excluded; final payment absorbs rounding.

Where the $240,000 goes



Center runway	$90K
Marketing & sales	$45K
Operations	$25K
Portals & security	$30K
Merchandise launch	$15K
Cash reserve	$35K

Visible today: branded curriculum, bilingual material, classroom designs, characters, training and portal demonstrations. Order requests are configured; payment checkout is unconfigured. Six Hub feature families are tested locally. Production acceptance and paid partner traction remain unverified.

Two sources of repayment

The center earns tuition. Partner daycares and church programs pay for an agreed program, access and support. The model combines their cash after delivery costs; setup receipts and merchandise are kept separate from recurring coverage.

Planning sensitivity; paid contracts unverified. *Owner pay and taxes remain unresolved; coverage is not lender-ready.*

Month 24 repayment test	Center only	Center + partner growth
Center cash: 34-child case held steady	$5,060	$5,060
Expected active accounts after churn	0	20.76 (about 21 sites)
Partner recurring gross	$0	$4,090.57
Partner contribution at 60%, less $500 overhead	$0	$1,954.34
Cash before $4,982.01 debt service	$5,060	$7,014.34
Recurring debt coverage	1.02x	1.41x

Year two holds the month-12 center case constant. Fractional accounts express expected retention, not literal customers. Weighted fee: $197/month; churn: 2%/month. Growth: two new sites/month in months 4–8, then one. At 40% contribution, coverage is 1.24x. Setup fees are excluded.

Operating target: with 34 center children, at least 15 active paid sites at 60% contribution, or 22 at 40%, reach 1.25x coverage. Thresholds round up to whole sites. The 24-child downside needs 86 or 128; this rollout does not rescue it. Church pricing needs a separate scope.

Cash discipline: center-only year-one cash ends at $28,880 against a $35,000 reserve. Combined growth ends month 24 at $60,500.18 with 60% recurring and 10% setup contribution; $52,713.18 with zero setup contribution. Year-two marketing, tax, omitted owner pay and capital spending need budgets.

Conditions before a draw

Verify borrower, IP, license, capacity, facility agreement, insurance, roster, collections, payroll and a cost-based 13-week forecast. Release partner-scale funds against paid pilots, accepted delivery, support cost and renewals.

$500,000 later facility: not offered for immediate draw. *The same center needs 72 active sites at 60% contribution or 107 at 40% for 1.25x coverage. This rollout falls short. A separate acquisition, staffing and cash plan is required.*

Investor business plan and financing brief

Prepared: October 8, 2026 **Financing request:** $240,000 business loan. The $140,000 smaller launch alternative is modeled separately. A $500,000 expansion illustration requires separate underwriting. No equity or conversion rights.

Repayment capacity is not established until actual bank statements, payroll, licensed capacity, owner-pay treatment and a 13-week cash forecast reconcile to the model.

The opportunity

A child should feel welcome before a lesson begins. A teacher needs a plan that survives a busy room. A parent needs to understand what their child is learning. Futures Friends brings those needs together: familiar characters for children, usable plans for teachers, and a clear connection between the classroom and home. The public site now presents family, center, home-daycare, church, pre-K/Head Start, and employer paths. It also shows bilingual family material, meal and movement content, character-led learning, room and zone concepts, a family portal preview, teacher portal preview, center sign-in/demo, Academy training, and a merchandise catalog.

The commercial idea has two parts. First, the company can operate or improve a local childcare center. Second, the same curriculum, training, room kit, portal, and brand can be sold to other centers, home daycares, churches, pre-K partners, and employers. Those channels must be tracked separately. A center's tuition is operating revenue. A provider's setup fee and monthly membership are licensing/service revenue. Merchandise revenue is sales revenue and its margin is unknown until supplier quotes, shipping, payment fees, returns, and inventory terms are documented.

Public pages checked October 8 show 12 monthly units and 48 theme weeks: Units 1-11 are drafts, Unit 12 is in writing, and none has recorded approval. There are 36 recipes across three levels, 27 family activities and 17 printables, including eight Spanish drafts. The 37-module Academy is a browser-local preview, not approved training credit. Hub previews use sample data; hosted tenant, payment and production acceptance remain funding gates.

Borrower and team record

The older investor package names Robert McDaniel as owner. It does not identify the legal borrower, IP-holding entity, qualified center director, or named teaching staff. Robert McDaniel's current role and the legal borrower require confirmation. The borrower name, state of formation, EIN, ownership record, director credentials, background checks, and host church agreement are closing documents, not details to fill with guesses. The old package describes one director and two teachers as the operating team, but it leaves their names and credentials blank.

Current facts and what still needs proof

The legacy investor files identify the operator as working from 3625 S Blue Ridge Blvd, Independence, Missouri, inside a host church facility. They describe tuition of $210 per week, approximately $910 per month, billed weekly, and an old snapshot of three children enrolled. They also contain conflicting capacity figures: 40, 41, and 50. None of those numbers should be presented as current licensed capacity until the license, fire approval, usable square footage, age mix, and current roster are attached.

The legacy files are useful history, not current results. They also contain unresolved placeholders for the church name, entity, payroll, and some operating costs. The old documents describe a $125,000 or $140,000 request. The financing proposal uses the requested tiers of $140,000, $240,000, and $500,000 and does not carry forward old enrollment, margin, or break-even claims as facts.

Before a note is signed, the investor should receive: the legal borrower name and good-standing record; current childcare license or exemption position; host-facility agreement; insurance; current enrollment and attendance report; twelve months of bank statements and tax returns, if available; tuition collection report; payroll and contractor schedule; vendor quotes; a current 13-week cash forecast; and written confirmation of how the proceeds may be used. Capacity and staffing must be checked against current Missouri requirements by the operator and counsel.

Product and customer

The first customer is a childcare operator who needs a clearer program, more consistent staff practice, better parent communication, and a professional way to explain the value of the center. A church or home daycare may need a smaller package. A larger center may need a room kit, staff training, bilingual family materials, reporting, and a portal. Families are the end users and the reason the center renews.

The site displays proposed provider package prices checked on October 8, 2026: Home at $1,495 setup and $89 per month; Center Starter at $2,995 setup and $229 per month; and Center Complete at $5,995 setup and $349 per month. It displays the separate Zone Boundaries add-on at $1,195 for home providers and $1,995 for classrooms. The store is configured for order requests; online payment checkout is not configured. These figures are planning references subject to order-form confirmation, delivery scope, supplier quotes, taxes, shipping, and a working payment path; they are not current trading or sellable-inventory evidence.

The site also lists a training ladder: Foundations (12 hours, included), Classroom Educator (19 hours or $349 per seat), Lead Educator and Mentor (10 hours plus practicum, $495 per seat), Leadership (12 hours, $595 per seat), Eat Rainbow Cook (12 hours, $199 per seat), Home Educator (12.5 hours, included in Home), and Trainer Academy (16 hours plus co-teaching, $1,250). Training enrollment is not open. Preview hours are self-recorded; Missouri or Kansas clock-hour approval, accepted delivery and a payment path remain unverified.

Merchandise is shown with wholesale and retail reference prices: books, posters, stickers, apparel, welcome kits, classroom sets, signs, and carpets. Examples include plush friends at $18 wholesale/$26 retail, classroom sets at $68/$99, storybooks at $8/$12.99, staff tees at $14/$20, kids tees at $12/$18, and carpets at $745 to $795 wholesale with retail pricing still to be set. Plush is deferred pending safety testing. Catalog

prices are not margin; supplier, freight, fulfillment, defect and return costs need quotes.

HISTORICAL REFERENCE | Current controls at front supersede financial, scope and readiness assumptions.

A room that explains the program



Booker's Reading Area / blue. Proposed classroom transformation, not an installed-room photograph.

The coordinated zone gives a family something concrete to see: a recognizable character, a place for books and a shared cue for teachers. Carpets and zone boundaries are separate add-ons; an approved bill of materials must settle package contents before sale.

How the business can make money

1. A local center collects tuition and fees from enrolled families. This is the most direct operating business and has the highest staffing and licensing risk.
2. Providers pay one-time setup fees for a package, room plan, training, and materials.
3. Providers pay monthly for curriculum access, staff support, updates, family materials, and the portal service as it becomes hosted.
4. Providers buy seats for advanced training and trainer development.
5. Centers, churches, and families buy branded books, posters, signs, apparel, zone kits, carpets, and welcome materials.
6. A church or pre-K/Head Start partner can buy a tailored program or license. The scope, term, support level, and renewal price need a written contract.
7. Employers may sponsor family learning or childcare support. This is a sales hypothesis, not booked revenue.
8. Custom branded carpets and room materials can become a B2B line for other organizations, with artwork approval, minimum quantities, deposits, and production lead times.

Recurring income is attractive because a monthly provider relationship can renew while a one-time kit is already in the room. It is not passive income. It requires onboarding, curriculum maintenance, support, billing, data protection, training, replacement materials, and a real cancellation policy.

Center cash model

The following is a planning case built from the older $210 weekly tuition and the older Option A operating cost of about $23,500 per month for ratio-compliant teachers, a director, and a cook. Food is modeled at the older draft's $70 per child per month. The old files group rent, utilities, insurance, supplies, and payroll taxes inconsistently. Their inclusion in the $23,500 placeholder is unresolved. A bill-by-bill ledger must replace it, including owner/director compensation, before underwriting.

Enrolled children	Tuition at $910/month	Food at $70/month	Operating result before debt*
20	$18,200	$1,400	($6,700)
28	$25,480	$1,960	$20
34	$30,940	$2,380	$5,060
41	$37,310	$2,870	$10,940
50	$45,500	$3,500	$18,500

*Illustration: tuition less $23,500 fixed operating cost and food. Owner-pay inclusion in the placeholder is unresolved. The illustration excludes taxes on profit, debt service, subsidies, late fees and provider revenue. The table explains why the old 41 and 50 figures cannot be presented as interchangeable. At this cost level, the center reaches operating break-even at about 28 children before debt. The $240,000 note's modeled $4,982 monthly payment moves that threshold to roughly 34 children. A 50-child plan needs current license and staffing evidence.

The center also needs cash from families before a child occupies a seat. The operating policy should require weekly payment in advance, a written late policy, and a deposit or registration fee approved by counsel. The base case uses 100% billed tuition. A 4% collection shortfall is a downside sensitivity only, not a current delinquency rate. At 34 children, that sensitivity produces $3,822.40 before debt and negative $1,159.61 after the illustrative $4,982.01 payment. Combined with month-24 partner growth, coverage falls from 1.41x to 1.16x. The growth case has only $786.83 monthly cushion above 1.25x, before omitted owner pay, tax or extra costs.

The base ramp below is a planning target, not traction. It starts at eight paying children and reaches 34 in month 12. The downside ramp reaches 24. At $910 tuition, the base center's gross tuition in month 12 would be $30,940; the downside would be $21,840. The base case covers the illustrative $4,982 note payment only after the center passes roughly 34 children, so funded working capital must carry the early months. The reference center-only cash bridge excludes provider receipts to expose reliance on enrollment. The separate combined repayment model includes daycare and church expansion under explicit sales and cost sensitivities.

Month	Base children	Downside children	Base tuition	Downside tuition
1	8	8	$7,280	$7,280
2	8	8	$7,280	$7,280
3	10	9	$9,100	$8,190
4	14	11	$12,740	$10,010
5	14	11	$12,740	$10,010
6	22	15	$20,020	$13,650
7	22	15	$20,020	$13,650
8	25	17	$22,750	$15,470
9	29	19	$26,390	$17,290
10	29	19	$26,390	$17,290
11	32	22	$29,120	$20,020
12	34	24	$30,940	$21,840

HISTORICAL REFERENCE | Current controls at front supersede financial, scope and readiness assumptions.

Under the illustrative cost case, month 12 operating cash before debt is about $5,060 at 34 children and negative $3,340 at 24 children. At those enrollment levels, the later $4,982 amortizing payment leaves about $78 in the base case and an $8,322 shortfall in the downside, before any omitted owner pay and tax. Month 12 itself still uses interest-only payments. This is why the financing plan needs a reserve, staged hiring, weekly collections, and provider sales. It also gives an investor a usable downside test rather than a full-enrollment promise.

Provider sales case and cash contribution

Provider sales are separate from the center. A modest planning case assumes two Home packages and three Center Starter packages by month 12. That is five provider customers, $11,975 of proposed setup list-price revenue, and $865 of proposed monthly list-price revenue (2 x $89 plus 3 x $229) before refunds, sales costs, support, and tax. The monthly figure is contingent: billing begins only after the Hub is live and Unit 2 is delivered. The order-request path is configured, but no settled provider receipts are evidenced; this remains a target. A Center Complete package is upside only after a signed buyer and delivery plan.

Owner cash contribution is not included in the forecast and remains unknown pending bank statements and a contributed-cost ledger. A documented contribution, staged draw, or reserve condition may be negotiated in the final note, but it is not existing cash or a forecast assumption until evidenced.

Customer acquisition cost should be measured by channel. For planning only, the base funnel assumes a one-month $6,000 local-marketing test, 60 qualified inquiries, 24 tours, and 6 new center enrollments, which is $1,000 per enrolled child. A downside case assumes the same spend produces 30 inquiries, 12 tours, and 2 enrollments, or $3,000 per enrollment. The provider funnel assumes 20 qualified operator conversations, 6 demos, 2 proposals, and 1 paid setup per month. The $6,000 test is a funnel sensitivity, not a twelve-month spending commitment. The cash bridge schedules $45,000 of annual marketing; any larger pilot must be reallocated within that ceiling or funded separately. These are test targets. Track inquiry source, tour attendance, deposit date, first payment, churn, and support hours before increasing spend.

Debt coverage and milestones

Debt service coverage ratio is operating cash available for debt service divided by required principal and interest. Using the center illustration alone, 34 children produces about $5,060 before debt and a DSCR of about 1.02 against the $4,982 payment. That is too thin for a lender. A 41-child month produces about $10,940 before debt and a DSCR of about 2.20. The proposed internal coverage target is at least 1.25; the lender sets its own covenant. This target must be measured after actual owner pay and taxes are included, which means the operator needs more than the simple 34-child threshold or must show dependable provider cash.

For the $240,000 tier, release funds in three steps: an initial operating and compliance draw after entity, license, insurance, and host agreement documents; a marketing and portal draw after the 13-week cash forecast and vendor quotes; and a scale draw after a paid provider pilot and current enrollment report. The $500,000 tier should use the same structure with an additional gate before inventory or a second-site pilot.

Go-to-market

The first sale should be a measurable pilot: one center or home provider, a defined room or zone, staff onboarding, parent orientation, four weeks of use, and a before/after report. Sell the outcome in plain terms: a daily rhythm staff can follow, a parent can understand, and a director can inspect.

The sales sequence is: short demo; site and capacity discovery; written fit and quote; deposit; setup; staff training; parent launch; 30-day review; monthly renewal. Churches and home daycares should have their own landing page and offer. A generic “for everyone” pitch will make the buyer work too hard.

Useful proof to collect is not a vanity count. It is signed pilot agreements, paid setup invoices, renewal rate, staff completion, parent participation, attendance, incident and complaint trend, time saved by the director, and gross margin by product. Until those records exist, they must remain targets.

First market and service economics

Start in the Independence and Kansas City area with owner-operated centers, home providers, and church programs that can participate in a supported pilot. The first proof case is five provider customers. The combined repayment appendix separately tests a continued rollout; neither is a claim about regional market share. Build the addressable-market count from the current Missouri provider directory, filter by geography, age groups and decision-maker access, then record outreach and qualified demand. A nationwide childcare count would exaggerate this launch opportunity.

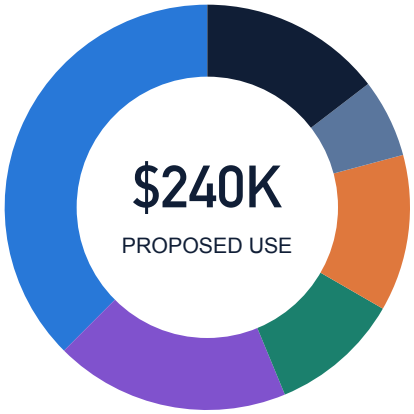
Provider subscriptions are a proposed recurring channel. Only signed, paid, active accounts count as recurring revenue; proposals, demos, unpaid invoices, and projected centers do not.

The business earns renewals when the teacher uses the plan, the parent sees its value, and the director can get help. Each pilot must record onboarding hours, materials, freight, payment fees, recurring support time, and cancellations. The proposed $865 monthly receipts from five providers are gross revenue. Only the contribution left after delivery and support can service debt. No provider margin or lifetime value is claimed before that evidence exists.

Management and accountability

The launch needs accountable owners for center operations, curriculum and bilingual review, platform/privacy, provider implementation, and sales/fulfillment. These are responsibilities to assign, not five funded hires. The center director must hold the required qualifications; outside advisers and contractors need written scope, cost, and rights terms. Monthly lender reporting should be prepared by the finance owner and reconciled to bank records.

Use of funds



Center runway	$90K
Marketing & sales	$45K
Operations	$25K
Portals & security	$30K
Merchandise launch	$15K
Cash reserve	$35K

Recommended $240,000 allocation. Runway and reserve designate cash; they are not extra expenses.

The following budgets are planning allocations, not invoices. They intentionally include marketing and operating support in the $240,000 request. Release against a budget and monthly report.

$140,000 proof-and-fill note

- Center operating runway: $70,000
- Enrollment and local marketing: $20,000
- Licensing, insurance, compliance, and professional fees: $15,000
- Portal and service completion: $15,000
- Cash reserve: $20,000

This tier protects the first operating site and tests paid provider demand. It does not fund a broad rollout.

$240,000 base execution note

- Center operating runway: $90,000
- Marketing and sales: $45,000
- Operations, compliance, and professional fees: $25,000
- Portal, hosting, security, and service work: $30,000
- Merchandise samples and launch inventory: $15,000
- Cash reserve: $35,000

This is the recommended meeting ask because it funds the local operating base and gives the provider offer a real sales and support budget. It still assumes staged spending and verified vendor costs.

$500,000 scale note

- Center operating runway: $150,000
- Marketing and sales: $90,000
- Hosting, security, integrations, and portal build: $80,000
- Hiring, training, and operating systems: $55,000
- Merchandise production and inventory: $45,000
- Second-site or partner pilot: $30,000
- Cash reserve: $50,000

The $500,000 tier is not offered for immediate draw. Any later facility should be released in milestones. It should not be described as proof that a second site or a merchandise business already exists.

Proposed request handling: the founder owns the sales queue until a customer-success lead is appointed. Acknowledge each request within one business day, record its owner and next step, and test receipt and follow-up before publishing that response commitment. A monitored inbox and response performance have not yet been verified.

Proposed financing

The proposed $240,000 structure is a committed loan facility with staged advances, subject to lender agreement. The payment illustration assumes the full amount is funded at closing; it does not price staged advances. Before signing, recalculate interest, principal payments and the cash bridge from the agreed draw dates and interest-only clock. The borrower pays principal and interest. The lender receives no shares, voting rights, permanent ownership, or conversion right. Security, personal guaranty, priority, reporting, default, and remedies must be written by Missouri counsel after the borrower and collateral are verified.

For planning only, the model uses 9% annual interest, twelve months of interest-only payments, then sixty months of principal amortization at the same rate. It assumes interest accrues only on funded principal, no capitalized interest, fees, or penalty. The final note must state whether the interest-only clock starts at closing, each draw, or a milestone. At $240,000, the first twelve months are $1,800 per month interest; the next sixty months are about $4,982 per month. Total scheduled payments under that illustration are about $320,520, including $21,600 of first-year interest. The exact note may differ.

At $140,000 the illustration is $1,050 per month for the first year and about $2,906 per month for the next sixty months; total scheduled payments are **$186,970.18**. At $240,000, total scheduled payments are **$320,520.32**. At $500,000 it is $3,750 per month for the first year and about $10,379 per month for the next sixty months; total scheduled payments are **$667,750.66**. These are model outputs rounded only for display and remain subject to the final note.

For the $500,000 alternative only, counsel could evaluate a finite cash bonus alongside the note, ending within 36 months and capped at $35,000. The final agreement would define the qualifying milestone or collected provider-service revenue, payment waterfall and audit rights. Center tuition, merchandise, refunds and pass-through taxes would be excluded from any provider-revenue calculation. The bonus would create no company ownership or conversion right. No bonus is included in the forecast, and no rate or return is

offered or guaranteed here. Missouri counsel must review securities, lending, tax and usury rules before proposing terms. A fixed-interest note without the bonus remains the simpler alternative.

Downside and repayment

Repayment cannot depend on a full classroom. The base case should show center cash flow separately from provider fees and merchandise. A downside case should assume slower enrollment, delayed provider sales, no carpet inventory sale, and a 90-day delay in hosting. The modeled downside exhausts cash in month 10. Protecting scheduled payments therefore requires an earlier spending reduction, documented additional funding, or revised terms. A reserve alone does not close the gap. Staffing changes must preserve required ratios.

The lender should receive a monthly cash report, bank reconciliation, enrollment report, accounts payable, provider pipeline, and use-of-funds variance. A covenant package can require notice before a new lease, material purchase, related-party payment, or change in use of proceeds. A draw schedule is safer than giving the full scale tier at closing.

Product status and lender conditions



Full $240,000 funded at closing; provider receipts and owner contributions excluded. Both cases use legacy cost assumptions.

The public site is a polished demonstration of the brand, bilingual learning direction, portal concepts, Academy, meal and movement plans, characters, zones, and catalog. It is not a hosted production Hub. Production acceptance details are in the companion. The release manifest and store must be reconciled to one approved bill of materials before any package is sold or supplier cost is modeled. Package quantities remain proposed until that reconciliation. The store is configured for requests, with checkout/payment credentials unconfigured and fulfillment acceptance outstanding. Store and carpet materials remain catalog evidence. Monthly provider billing starts only after the Hub is live and Unit 2 is delivered.

This is a planning case, not historical performance. The center illustration uses legacy tuition and a $23,500 monthly operating-cost placeholder. That placeholder combines or excludes categories that must be replaced before underwriting, including owner pay and taxes. Break-even, DSCR, and repayment capacity are sensitivities until the lender receives the monthly cost schedule, bank statements, payroll register, facility agreement, insurance, license, current roster, and 13-week cash forecast.

The center-only ramp produces cumulative operating cash of approximately **($74,520)** in the base case and **($132,480)** in the downside case before debt. The base assumes collection of 100% of billed tuition; a 4% collection shortfall is a separate sensitivity.

The $140,000 proof-and-fill bridge assumes the full draw occurs on day one, interest starts at closing, provider receipts are zero, and $50,000 is spent outside the center: $20,000 marketing, $15,000 compliance/professional work, and $15,000 portal/service completion. Against $74,520 of base center cash loss and $12,600 of first-year interest, ending cash is **$2,880**. Against the $132,480 downside center loss, ending cash is **($55,080)**. The $20,000 reserve is breached by $17,120 in the base case and $75,080 in the downside case. The $240,000 bridge remains separately modeled at $28,880 base ending cash and ($29,080) downside ending cash. Both are decision bridges, not proof of available cash; provider receipts are conservatively zero.

The full illustrative bridge is shown below so the investor can see the cash path rather than a single endpoint. Provider receipts remain zero in every month.

Mo.	Opening cash (base)	Center cash (base)	Center cash (downside)	Non-center spend	Interest	Ending cash (base)	Ending cash (downside)
1	$240,000	($16,780)	($16,780)	$14,000	$1,800	$207,420	$207,420
2	$207,420	($16,780)	($16,780)	$14,000	$1,800	$174,840	$174,840
3	$174,840	($15,100)	($15,940)	$13,000	$1,800	$144,940	$144,100
4	$144,940	($11,740)	($14,260)	$10,000	$1,800	$121,400	$118,040
5	$121,400	($11,740)	($14,260)	$10,000	$1,800	$97,860	$91,980
6	$97,860	($5,020)	($10,900)	$13,000	$1,800	$78,040	$66,280
7	$78,040	($5,020)	($10,900)	$8,000	$1,800	$63,220	$45,580
8	$63,220	($2,500)	($9,220)	$8,000	$1,800	$50,920	$26,560
9	$50,920	$860	($7,540)	$8,000	$1,800	$41,980	$9,220
10	$41,980	$860	($7,540)	$8,000	$1,800	$33,040	($8,120)
11	$33,040	$3,380	($5,020)	$4,500	$1,800	$30,120	($19,440)
12	$30,120	$5,060	($3,340)	$4,500	$1,800	$28,880	($29,080)

The $240,000 base case ends with $28,880, which is $6,120 below the proposed $35,000 reserve. The downside ends at negative $29,080, a $64,080 shortfall against that reserve. To preserve the reserve under

HISTORICAL REFERENCE | Current controls at front supersede financial, scope and readiness assumptions.

these assumptions, defer at least $6,120 of discretionary spending in the base case; the downside requires $64,080 of cuts, documented net receipts, or new funding. Use the combined expansion scenarios to size the partner-sales requirement; release scale funds against collected receipts and verified delivery costs. Review the 13-week forecast weekly and suspend merchandise commitments before cash crosses the reserve floor.

The bridge treats the $90,000 runway allocation as a funding designation, not an additional expense. Center losses already appear in the center-cash columns. The $25,000 operations budget is for incremental compliance and professional work; it must not duplicate costs inside the $23,500 monthly placeholder. An invoice ledger must resolve this boundary before money is released.

After the interest-only period, the $240,000 payment is about $4,982.01 per month. The modeled schedule has 12 interest-only payments followed by 60 amortizing payments, for 72 payments in total. It assumes the full principal is funded on day one; staged funding requires a fresh schedule. At the downside month-12 enrollment level, the later amortizing payment would leave an $8,322 shortfall before any omitted owner pay and tax. The $500,000 payment of about $10,379 is not supportable from the center ramp; that alternative requires tested partner scale, documented provider receipts, or a different underwriting case before a draw. The $140,000 and $500,000 amounts are alternatives to the recommended $240,000 ask, not cumulative rounds. Monthly timing for the $140,000 alternative and a full cash bridge for the $500,000 alternative remain underwriting work.

Before the first draw, the lender should receive the legal borrower and IP records, license and capacity evidence, host agreement, insurance, current roster and deposits, payroll and tax obligations, vendor quotes, 13-week cash forecast, data/privacy plan, and note terms. Collateral, security priority, personal guaranty, and enforcement remedies are currently unknown and must be negotiated with counsel.

Competition and position

Operators already have serious options. Brightwheel, Procare and Lillio publish tools for center administration, billing and family communication; Brightwheel and Lillio also describe learning or curriculum features. Futures Friends should not win a sale by pretending those products are incomplete. The comparison is whether an operator wants this particular learning program and the support to use it in the room.

Buyer decision	Established alternatives	Futures Friends case to test
Run billing, attendance and family messages	Brightwheel, Procare and Lillio have established offers	Integrate with the operator's system; prove any replacement workflow before promising it
Give the classroom a clear identity	Compare the operator's existing curriculum, room materials and training	Coordinated characters, zones, stories, food, movement and family resources
Help staff use the program consistently	Compare onboarding, training and available support	A supported launch with recorded preparation time, staff use and response time

Buyer decision	Established alternatives	Futures Friends case to test
Serve a home daycare or church program	Compare package cost, scope and operating fit	A smaller implementation and a church-specific scope rather than a center-sized obligation

The advantage worth building is the connection between the child-facing world and daily delivery: a familiar character in the story, the same cue in a classroom zone, a teacher who can use the plan, and a parent who understands the activity. Artwork alone is easy to imitate. Rights records, reviewed content, repeatable onboarding, useful support and renewed accounts would make that position harder to copy.

Competitor sources: Brightwheel features, Procare capabilities, Lillio center management. These are vendor descriptions, not comparative performance tests. Futures Friends has not established superior outcomes, compliance, market share or lower cost.

The paid pilot and the next financing decision

Offer a four-week paid pilot with a written room or zone scope, materials list, onboarding schedule, staff orientation and parent launch. Document the deposit, direct materials and freight, setup labor, first settled invoice, support hours and a 30-day review. Agree in advance what is delivered and when monthly billing may begin. Included training cannot be invoiced again as a separate sale.

The first three implementation types should be tested individually: a home provider, a small center, and a church program when its scope is ready. A church may operate weekday childcare, Sunday classes or midweek children's activities. The contract must name the use, access times, storage, responsible staff, safeguarding, pickup, insurance and information ownership. Do not imply a curriculum license covers the host's operating obligations.

Decision	Evidence required	Proposed management gate
Repeat the first sale	Paid delivery, known direct cost, customer acceptance	One delivered implementation and first settled monthly invoice
Increase acquisition spending	Collected fees, support hours, usage and cancellation record	Five active paid sites with renewal or documented 90-day review
Underwrite the $500,000 alternative	Cohort contribution, staffing capacity, cash forecast and larger debt payment	A separate scale case; the $240,000 sensitivity does not justify this loan
Seek $1 million of financing	Historical results where available; integrated income, balance sheet, cash and capex projections	A complete five-year financing case with monthly first-year detail

These gates are proposed operating decisions, not lender commitments or accreditation requirements. The $1 million question is about the amount of financing sought, not the company's valuation. A $100 million future is an ambition, not a substantiated valuation. At $349 monthly, 1,000 fully paying Complete accounts produce $4.188 million in annual subscription revenue before costs; 10,000 produce $41.88 million. Neither

figure establishes enterprise value. Distribution, renewal, margin, content rights and delivery capacity would have to support the scale.

The financing presentation uses Sequoia's business-plan framework to explain the customer, offer, timing, alternatives and business model. The requested financial evidence follows SBA business-plan guidance. Neither source has reviewed or endorsed the company.

Investor questions to answer before closing

Who is the legal borrower and who owns the intellectual property? The borrower, state, EIN, IP holder, ownership record, and assignments remain closing diligence items.

What is the current license, capacity, age mix, and staff ratio? The current license or exemption position, usable capacity, age mix, and ratios must be attached before capacity is underwritten.

How many children are enrolled and paying today? The package should include the current roster, attendance report, tuition ledger, and matching bank deposits; no legacy count is treated as current traction.

What is the host church agreement? Attach the executed facility agreement, renewal terms, termination rights, and a continuity plan if the arrangement ends.

What are monthly costs? Replace the $23,500 placeholder with payroll, food, rent, utilities, insurance, taxes, owner pay, and other recurring bills supported by records.

What releases the $240,000? Use staged draws tied to entity/license documents, vendor quotes, the 13-week forecast, portal/service milestones, and a paid provider pilot.

Which portal functions are live? Public previews and demo surfaces are documented; authenticated delivery, tenant separation, role enforcement, audit, backup, and live data storage remain acceptance gates.

How is private information protected? Access must be tenant-scoped and role-limited, with consent, retention, audit, export, recovery, and incident procedures tested before production use.

What are renewal and cancellation terms? They remain proposed until an order form states the service scope, renewal date, cancellation notice, refunds, replacement policy, and support response target.

What are the merchandise terms? The catalog is design evidence. Supplier quotes, minimum orders, shipping, returns, storage, inventory, and fulfillment are still required.

What is the repayment source? Repayment is expected from documented center operating cash plus provider setup and recurring receipts; merchandise and a full classroom are not the sole source.

What happens if enrollment is slow? Draws pause, discretionary marketing and inventory are cut, staffing is staged, and the reserve and provider pipeline are reviewed against the monthly covenant report.

The investor will also ask why the $240,000 request is larger than the former $140,000 concept. The answer is that the newer request sets aside $45,000 for enrollment and provider sales, $25,000 for operations and compliance, $30,000 for portal hosting and security work, and $35,000 for reserve. Those dollars buy time to finish the service and test demand. They do not create revenue by themselves.

The $500,000 option funds a larger reserve, hosting and integrations, a measured merchandise run, and a partner pilot. Its $10,379 monthly amortizing payment exceeds the modeled center cash. It requires a new underwriting case with proven provider contribution before closing or drawing scale funds.

Other structures worth discussing are a smaller term note plus a committed draw facility, equipment financing against quoted assets, or a fixed-dollar milestone bonus instead of revenue participation. Customer deposits and annual prepaid plans can reduce working-capital needs only after delivery terms, refunds, and service capacity are established. None gives the lender permanent ownership.

Research and source record

The presentation follows Sequoia's company-purpose, customer-problem, market, competition, business-model, team and financial sequence. The lending diligence follows SBA business-plan guidance. These references guide the package; neither organization has reviewed or endorsed Futures Friends.

- SBA: Plan your business - business-plan and financial preparation. Historical records and a supported multi-year forecast remain lender diligence; this package supplies a twelve-month sensitivity model, not an invented five-year forecast.
- Sequoia: Writing a business plan and Presenting to investors - investor narrative and discussion.
- SEC: Small businesses and capital raising - offering review reference for counsel; calling funding a loan does not settle every legal requirement.
- Missouri DESE: Child care - licensing and operator requirements.
- Brightwheel, Procare payment processing, Teaching Strategies pre-K curriculum, and Learning Beyond Paper - competitors' own product descriptions.
- Head Start ELOF, CDC preschool activity guidance, and USDA Food Buying Guide - program alignment references, not approval or accreditation.

Website offers were checked on October 8, 2026; curriculum and cast manifests were checked again on October 8. The three revised documents reconcile the legacy investor files, production Bible, program library, and current development records. Editable financial assumptions accompany the package. All amounts are US dollars. Counsel-reviewed terms and verified operator records are required before financing closes.

Operating model

Delivery behind the offer

Staffing, enrollment, partner service and controls.

EVIDENCE KEY

Verified: source or test recorded. Configured: setup exists. Proposed: terms to agree. Planned: delivery or acceptance outstanding. Each claim carries its own status in the text.

LEARN

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BELONG

Restored operating detail from the original proposal

Program promise and family experience

Futures Learning Center is designed for children ages two through five during a full weekday, with the daily rhythm flexing by age, weather, rest needs, and licensing requirements. The original proposal organized the family promise around four practical outcomes: **Read** (language, books, listening, early literacy), **Play** (movement, pretend play, problem-solving), **Explore** (hands-on discovery with teacher guidance), and **Belong** (safe routines, caring interaction, and a dependable relationship with the adults in the room). This framing remains useful because it explains what tuition buys without turning the program into a list of software features.

A sample rhythm includes arrival and breakfast, circle time, learning centers, outdoor play, lunch, nap or quiet time, snack and stories, art and music, open play, and pickup through the published closing window. The operator must confirm the final timetable, meal policy, curriculum framework, and age-group transitions before presenting it as an operating schedule. The plan should include a family handbook with attendance, illness, medication, late pickup, tuition, deposits, withdrawal, emergency communication, and authorized pickup rules.

The bilingual direction is a service feature with operating obligations. Spanish materials, captions, family messages, and translated enrollment information need human review, consistent terminology, and a clear answer for which documents are legally controlling. Translation alone does not establish bilingual staffing or a bilingual classroom. Staffing and language coverage should be shown in the center roster and pilot plan.

Enrollment-based staffing and capacity control

The center cannot use an enrollment target without a staffing schedule. The director should maintain an age-banded roster, attendance forecast, teacher schedule, opening and closing coverage, break coverage, substitute plan, and ratio check for each operating block. A new enrollment should trigger a ratio and room-capacity review before the deposit is accepted. The plan's 20, 28, 34, 41, and 50-child cases are financial sensitivities; they do not establish licensed capacity or authorize a staffing pattern.

A practical staffing sequence is:

- At the opening ramp, the director confirms the minimum qualified coverage for the enrolled age mix and uses the existing classroom team only if the roster and ratios support it.
- Before moving through the low-20s, add scheduled coverage for breaks, opening, closing, and absences rather than counting the director twice.
- Before the mid-30s, document the additional classroom or float position required by the age mix and room plan.
- Before any 41- or 50-child case, attach the current license, room capacity, fire and occupancy evidence, age mix, staff credentials, and a payroll schedule that includes substitutes and paid breaks.

The $23,500 monthly fixed-cost placeholder is not a staffing authorization. It is an old planning input that may combine payroll, occupancy, administration, and other costs. Every hiring step should have a wage, payroll-tax, benefit, substitute, and start-date line in the operating budget. If enrollment stalls, staffing reductions must preserve required ratios and safe supervision; the savings plan cannot simply remove the

adult who makes the room compliant.

Facility, licensing, and church relationship

The original package described a host-church facility at 3625 S Blue Ridge Blvd, Independence, Missouri, with a weekday program and a planned capacity that various files called 40, 41, or 50. These are historical descriptions. The closing file must contain the executed facility agreement, term and renewal rights, utilities and maintenance responsibility, use restrictions, insurance requirements, emergency access, storage rights, signage permission, and a continuity plan if the church relationship ends.

Licensing status, inspection history, fire and occupancy approvals, background checks, mandated reporter training, first-aid and CPR coverage, and any subsidy or food-program contract must be verified from current records. The investor should not underwrite a planned capacity from a marketing page. A license or exemption, the age mix, usable classroom square footage, and required ratios define the operating ceiling.

The church is a possible host and referral partner; it is not assumed to be a paying customer, guarantor, owner, or permanent facility. Any church program or license is a separate commercial relationship requiring scope, fee, term, data responsibilities, insurance, and termination language.

Five-year planning frame and financial discipline

The original proposal included a five-year revenue and operating-profit projection. Those figures are retired from the underwriting case because their enrollment, cost, and capacity assumptions were not verified. A longer-range view is still useful as a planning frame, but it must be rebuilt from monthly actuals after the center has a bank-reconciled roster, payroll ledger, tuition collections, provider invoices, merchandise cost records, and a tested portal service. The current model therefore emphasizes a twelve-month operating ramp, an explicit downside, and debt-service constraints instead of presenting a distant profit number as a promise.

The accounting boundary is essential:

Business line	Cash source	Costs that must be attached	Underwriting status
Local center	Family tuition, registration, approved fees, possible subsidy	Staff, payroll burden, food, facility, insurance, supplies, taxes, owner pay	Modeled with legacy inputs; records required
Provider program	Setup fees, monthly support, training seats, church or home-provider license	Onboarding labor, curriculum maintenance, portal hosting, support, travel, replacement materials	Proposed prices; request path configured; payment unconfigured; no booked receipts
Merchandise and room kits	Books, posters, apparel, carpets, signs, kits, branded materials	Supplier minimums, deposits, freight, storage, payment fees, defects, returns, fulfillment	Catalog evidence; margins and sellability unverified
Employer or sponsored program	Contract or sponsorship fee	Custom content, account management, reporting, delivery	Sales hypothesis only

HISTORICAL REFERENCE | Current controls at front supersede financial, scope and readiness assumptions.

This separation prevents a center tuition dollar from being counted again as provider revenue, and prevents catalog list prices from being treated as cash margin. Monthly management reporting should show revenue, direct cost, gross contribution, support hours, refunds, and cash collected by line.

Customer acquisition and retention evidence

The original marketing section proposed local search, parent referrals, tours, video, social content, and provider outreach. The current plan keeps those channels but assigns a proof requirement to each. A center funnel should report inquiries, contact rate, tour bookings, tour attendance, application, deposit, first payment, attendance after 30 days, and withdrawal. A provider funnel should report qualified conversations, demos, proposals, setup deposits, implementation completion, first renewal, and support hours. A marketing dollar is scalable only after the source and payback can be measured.

The first center campaign should use a short geographic test with one message, one landing page, one tour path, and a defined budget. Parent-facing claims must describe the actual program and avoid promising developmental or health outcomes that have not been measured. Provider-facing claims must distinguish a live workflow from a preview. Testimonials require permission and a traceable customer record.

Retention is operational. Families renew when care is reliable, communication is clear, children are known by staff, and tuition policies are predictable. Providers renew when staff can use the plans, directors can inspect activity, parents understand the value, and support responds. The 30-day and 90-day reviews should produce a short scorecard rather than a promotional anecdote.

Implementation roadmap and acceptance gates

Phase 1 - close the evidence file. Confirm borrower, IP owner, facility agreement, license, insurance, roster, payroll, tuition ledger, vendor quotes, privacy plan, and permitted use of proceeds.

Phase 2 - prove the center. Run the current enrollment ramp with ratio checks, weekly collections, attendance reporting, staff training, family communication, and a 13-week cash forecast. Replace the legacy cost placeholder with actual invoices.

Phase 3 - prove one provider. Select one home or center pilot, collect a deposit only after scope and delivery dates are written, deliver the room/curriculum package, train staff, and complete a 30-day review. Do not recognize monthly billing until the Hub is live and Unit 2 is delivered.

Phase 4 - host and secure the service. Before production data, verify tenant separation, role permissions, consent, audit history, backup and recovery, export, retention, incident response, and bilingual content review. A polished public site is a demonstration; acceptance requires a working authenticated workflow and an operational owner.

Phase 5 - scale by evidence. Release inventory, expanded marketing, or a second-site pilot only when the prior phase has paid receipts, measured delivery cost, renewal evidence, and cash coverage. The $500,000 alternative remains conditional on partner scale and cannot be justified by the center alone.

HISTORICAL REFERENCE | Current controls at front supersede financial, scope and readiness assumptions.

Original sections retained, revised, or retired

The original proposal's executive summary, company profile, market opportunity, program and tuition, Futures Friends ecosystem, operations and compliance, enrollment growth, financial plan, funding request, investment terms, comparison, risk mitigation, management, and appendices are represented in this restored document. Historical headline claims about current enrollment, licensed capacity, five-year revenue, operating profit, security, personal guarantees, and current platform readiness were revised into evidence requirements or planning sensitivities. The original $140,000 request is retained as an alternative; the recommended request is now $240,000 because the current plan includes marketing, operations/compliance, portal completion, and reserve. The $500,000 tier is retained only as a conditional scale alternative.

HISTORICAL REFERENCE | Current controls at front supersede financial, scope and readiness assumptions.

Financial diligence

Loan and operating sensitivity

Cash timing, costs, repayment and funding conditions.

EVIDENCE KEY

Verified: source or test recorded. Configured: setup exists. Proposed: terms to agree. Planned: delivery or acceptance outstanding. Each claim carries its own status in the text.

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Investor Underwriting and Financial Diligence Appendix

Prepared: October 8, 2026 **Companion to:** restored-business-content.md **Editable model:** financials.json **Status:** decision support for investor discussion; indicative debt terms and planning assumptions require verification before a note is signed.

Purpose and reading order

This appendix gives an investor a way to test the numbers behind the business plan. It separates the operating center, provider subscriptions, merchandise, and platform work. It also identifies the records that must be produced before a lender can underwrite repayment. The business plan explains the product and the mission. This document explains what the current model can support, where it is still a target, and what evidence closes the gap.

The recommended discussion amount is **$240,000**. The $140,000 and $500,000 cases are alternatives, not cumulative rounds. None of the cases sells stock, membership, conversion rights, or permanent ownership. The intended structure is a loan documented by counsel. Interest, repayment terms, security, and any limited commercial upside must be stated in the final note.

1. Model map and evidence hierarchy

Decision item	Current source	What it supports	What remains open
Product, portals, curriculum, bilingual site, zones, characters, store	Current public site snapshot and business plan	Demonstration of the offer and intended customer experience	Production hosting, role controls, billing, data retention, and customer acceptance
Tuition, food, fixed operating placeholder	financials.json → center_scenario_assumptions	Illustrative center math	Payroll, rent, utilities, insurance, taxes, owner/director pay, and actual food cost
Enrollment ramp	financials.json → center_scenarios	12-month sensitivity cases	License capacity, staffing schedule, signed families, attendance, and actual collections
Provider prices	financials.json → website_provider_prices and provider_sales_case	Proposed price architecture and a sales target	Orders, contracts, delivery acceptance, churn, support cost, and payment history
Debt payments	financials.json → financing_assumptions and debt_scenarios	Comparable indicative schedules	Final rate, fees, collateral, guaranty, draw clock, and legal priority
Cash runway	cash_bridge_240k_day_one_draw and cash_bridge_140k_illustrative	Illustrative first-year cash bridge	Bank-controlled disbursement, invoices, payroll register, and actual opening cash
Founder and borrower	borrower_and_team and legacy package	Robert McDaniel is named in the legacy package; 3625 S Blue Ridge Blvd, Independence, Missouri is the legacy location	Legal borrower, IP holder, entity, facility control, licenses, insurance, and team credentials

The hierarchy matters. The current site proves what a visitor can inspect. It does not prove paid traction. The legacy package preserves useful history and prior planning, but its capacity figures of 40, 41, and 50 are unresolved. The JSON model is the working source for the calculations in this appendix; it is planning data, not an audited forecast.

2. Current underwriting conclusion

The center is the first repayment engine in the model. At the stated assumptions, it carries a substantial ramp deficit before debt service and reaches positive monthly operating cash only in the later base months. A $240,000 loan gives the program room to complete the portal, launch marketing, cover compliance and operating work, and hold a stated reserve. It does not make the center self-funding during the first year. On the base case, the proposed $35,000 reserve is breached by $6,120 by month 12 after center losses, non-center spend, and interest-only payments. On the slower case, the bridge ends at negative $29,080 and the reserve shortfall is $64,080.

That result should shape the investor conversation. The ask is a growth and execution facility with milestone controls, not a claim that current center cash flow already supports a $240,000 amortizing payment. The center reaches approximately 34 children for the modeled $4,982.01 monthly amortizing payment on the $240,000 case. The month-12 base target is 34 children and produces $5,060 before debt, leaving a very small margin over that payment. The four-percent collection sensitivity turns that month into negative $1,159.61 after the payment.

Daycare and church subscriptions are the second repayment engine. Provider billing begins after the contracted Hub and Unit 2 conditions are met. The store accepts order requests; payment checkout is unconfigured. The center-only reference bridge excludes provider receipts. The combined partner appendix separately adds acquisition, churn and contribution costs, including a delayed launch; neither model claims current paid accounts. Merchandise and training remain additional channels pending cost and collection evidence.

3. Operating assumptions and equations

The center model uses weekly tuition of $210, represented as approximately **$910 per child per month**, monthly food cost of **$70 per child**, and a fixed monthly operating placeholder of **$23,500**. The contribution per child is therefore:

$910 tuition - $70 food = $840 monthly contribution before fixed cost and debt.

The operating cash equation is:

children x $840 - $23,500 = center operating cash before debt.

The mathematical monthly break-even under these assumptions is 28 children before debt:

ceil($23,500 ÷ $840) = 28.

Illustrative children required to cover the payment, using the same placeholder, are:

Facility	Monthly payment tested	Children required, rounded up
No debt	$0	28
$140,000, interest-only	$1,050	30

Facility	Monthly payment tested	Children required, rounded up
$140,000, after IO period	$2,906.17	32
$240,000, interest-only	$1,800	31
$240,000, after IO period	$4,982.01	34
$500,000, interest-only	$3,750	33
$500,000, after IO period	$10,379.18	41

These are algebraic thresholds, not enrollment promises. They assume every billed child pays the modeled tuition, no absence or discount effect, and that the $23,500 placeholder contains all fixed center costs. Actual staffing ratios, license limits, wage rates, and owner pay can move the threshold materially.

The debt schedule uses 9% annual interest, 12 interest-only months, and 60 amortizing months. The interest-only equation is principal x 9% ÷ 12. The amortizing payment uses the standard fixed-payment equation P x r ÷ (1 - (1+r)^-n), where P is principal, r is 9% divided by 12, and n is 60. The schedule assumes the full principal is funded on day one, interest begins at closing, there is no capitalized interest, and no fees or penalties are included. A staged draw requires a fresh schedule and a new cash bridge.

Principal	First-year IO payment	Months 13-72 payment	60-month amortizing total	Scheduled total including IO year
$140,000	$1,050.00	$2,906.17	$174,370.18	$186,970.18
$240,000	$1,800.00	$4,982.01	$298,920.32	$320,520.32
$500,000	$3,750.00	$10,379.18	$622,750.66	$667,750.66

The schedule does not answer whether a lender receives a lien, a personal guaranty, a security interest in equipment or receivables, or a priority position. Those are legal and credit terms to negotiate and document. The legal borrower and IP holder are still to be verified.

4. Enrollment cases and monthly operating cash

The base ramp is 8, 8, 10, 14, 14, 22, 22, 25, 29, 29, 32, and 34 children. The slower case is 8, 8, 9, 11, 11, 15, 15, 17, 19, 19, 22, and 24. The rows below show center operating cash before debt, using the $23,500 fixed-cost placeholder. They do not include marketing, portal completion, merchandise, or provider receipts.

Month	Base children	Base cash before debt	Slower children	Slower cash before debt
1	8	-$16,780	8	-$16,780

Month	Base children	Base cash before debt	Slower children	Slower cash before debt
2	8	-$16,780	8	-$16,780
3	10	-$15,100	9	-$15,940
4	14	-$11,740	11	-$14,260
5	14	-$11,740	11	-$14,260
6	22	-$5,020	15	-$10,900
7	22	-$5,020	15	-$10,900
8	25	-$2,500	17	-$9,220
9	29	$860	19	-$7,540
10	29	$860	19	-$7,540
11	32	$3,380	22	-$5,020
12	34	$5,060	24	-$3,340
12-month total		**-$74,520**		**-$132,480**

At 34 children, a four-percent collection shortfall reduces modeled tuition cash by $1,237.60. The resulting month-12 cash before debt is $3,822.40; after the $4,982.01 payment beginning in month 13, it is **-$1,159.61**. This is why the underwriting plan needs a collection policy, a reserve test, and a real payroll-and-rent budget before the interest-only period ends.

5. $240,000 cash bridge

The recommended case assumes a full day-one draw only to make the schedule visible. It allocates $115,000 to non-center work: marketing and sales, operations/compliance/professional services, portal completion and service, and merchandise samples or launch inventory. The $90,000 center operating runway is a designation of the facility, not an additional expense line. Center operating cash already appears in every monthly row. The $35,000 reserve is also a funding designation; it is not spent in the bridge unless the reserve is drawn.

Provider receipts are held at zero. Owner contribution is unknown and excluded. This avoids depending on either projected provider sales or undocumented owner cash.

Mo.	Base opening cash	Base center cash	Slower center cash	Non-center spend	IO interest	Base ending cash	Slower ending cash
1	$240,000	-$16,780	-$16,780	$14,000	$1,800	$207,420	$207,420

Mo.	Base opening cash	Base center cash	Slower center cash	Non-center spend	IO interest	Base ending cash	Slower ending cash
2	$207,420	-$16,780	-$16,780	$14,000	$1,800	$174,840	$174,840
3	$174,840	-$15,100	-$15,940	$13,000	$1,800	$144,940	$144,100
4	$144,940	-$11,740	-$14,260	$10,000	$1,800	$121,400	$118,040
5	$121,400	-$11,740	-$14,260	$10,000	$1,800	$97,860	$91,980
6	$97,860	-$5,020	-$10,900	$13,000	$1,800	$78,040	$66,280
7	$78,040	-$5,020	-$10,900	$8,000	$1,800	$63,220	$45,580
8	$63,220	-$2,500	-$9,220	$8,000	$1,800	$50,920	$26,560
9	$50,920	$860	-$7,540	$8,000	$1,800	$41,980	$9,220
10	$41,980	$860	-$7,540	$8,000	$1,800	$33,040	-$8,120
11	$33,040	$3,380	-$5,020	$4,500	$1,800	$30,120	-$19,440
12	$30,120	$5,060	-$3,340	$4,500	$1,800	$28,880	-$29,080
Total		**-$74,520**	**-$132,480**	**$115,000**	**$21,600**	**$28,880**	**-$29,080**

The base case therefore misses the proposed $35,000 reserve floor by $6,120. The slower case misses it by $64,080. The bridge is a warning about timing and funding controls, not proof of insolvency: it must be replaced with actual opening cash, payroll, rent, license, insurance, and invoices before closing.

6. $140,000 alternative and $500,000 scale case

The $140,000 alternative assigns $70,000 to center runway, $20,000 to enrollment and local marketing, $15,000 to licensing, insurance, compliance and professional services, $15,000 to portal and service completion, and $20,000 to reserve. The illustrative bridge spends $50,000 outside the center and pays $12,600 in first-year interest. With zero provider receipts, it ends at $2,880 in the base case and negative $55,080 in the slower case. It breaches the proposed $20,000 reserve by $17,120 and $75,080 respectively. This amount is therefore a smaller build, with little room for execution variance.

The $500,000 case is a separate scale facility. Its proposed uses are $150,000 center runway, $90,000 marketing and sales, $80,000 hosting/security/integrations/portal, $55,000 hiring/training/operating systems, $45,000 merchandise production and inventory, $30,000 second-site or partner pilot, and $50,000 reserve. The $10,379.18 post-IO payment needs approximately 41 children under the current placeholder. The center model alone does not support that payment. A lender should consider this case only after evidence of partner-site economics, provider contracts, deployment cost, staffing capacity, and a revised 13-week cash forecast.

If a higher-tier lender requires commercial upside, the only model-compatible concept is a finite, capped, time-limited cash bonus reviewed by counsel. One illustrative term is 2% of defined collected

provider-service revenue for up to 36 months, capped at $35,000, excluding tuition, merchandise, refunds, taxes, and pass-through charges. It would not be included in the repayment forecast and would confer no equity, conversion, voting, or permanent ownership right. It should be omitted from a binding offer until counsel confirms the accounting, tax, usury, and securities treatment.

7. Uses of funds and controls against double counting

Case	Planned use	Amount
$240,000	Center operating runway	$90,000
	Marketing and sales	$45,000
	Operations, compliance, professional	$25,000
	Portal, hosting, security, service	$30,000
	Merchandise samples and launch inventory	$15,000
	Cash reserve	$35,000
	Total	**$240,000**

Every draw should have an approved budget line, invoice, and monthly cash report. Center losses in the bridge cannot also be charged against the center-runway allocation as a second cost. The marketing, operations, portal, and merchandise allocations are already represented in the bridge's non-center spend. Reserve is a minimum cash target, not a spend category. Provider setup revenue and monthly memberships are excluded from the bridge until signed orders, delivery acceptance, and payment settlement exist.

Suggested release gates are: legal borrower and IP ownership verified; facility control and license verified; insurance bound; bank account established; opening payroll and rent schedule reconciled; portal delivery acceptance signed; and monthly reporting agreed. A lender can release portal, marketing, and inventory tranches against invoices rather than funding the full amount at closing. If staged draws are used, recalculate interest and the amortization clock from the actual funded balance.

8. Diligence request list

Entity and ownership. Provide formation documents, good-standing certificate, tax identification, ownership schedule, authorized signatory, legal borrower, IP holder, trademark or copyright filings, assignments from creators, and any related-party agreements. Confirm whether the named founder and the borrower are the same person or entity.

Facility and licensing. Provide lease, deed, host-church or facility agreement, certificate of occupancy, current childcare license, capacity letter, inspection reports, fire and health approvals, zoning confirmation,

and any conditions on using the site for the proposed enrollment. Reconcile the legacy 40/41/50 capacity figures to the current license.

Staffing and safeguarding. Provide director and teacher names, credentials, background-check status, CPR/first-aid records, wage rates, employment status, staffing ratios, substitute coverage, training plan, and a schedule showing how the enrollment ramp stays within license limits. Provide written child-safety, incident, medication, pickup, privacy, and mandated-reporting procedures.

Financial records. Provide 12-24 months of bank statements, tax returns, profit-and-loss statements, balance sheet, accounts payable and receivable, payroll registers, rent and utilities, insurance, food invoices, debt schedule, owner draws, contributed-cost ledger, and opening cash. Replace the $23,500 placeholder with a monthly budget supported by records. Provide a 13-week cash forecast with weekly receipts and payments.

Commercial proof. Provide family enrollment agreements and deposits, waitlist or inquiry log, provider proposals, signed service orders, delivery acceptance, invoices, refunds, churn, support hours, sales pipeline, and customer-acquisition spend. The current provider case of two Home and three Center Starter packages is a target, not booked revenue.

Technology and data. Provide hosting account ownership, deployment procedure, backup and restore test, access roles, tenant separation, privacy policy, data-processing terms, incident response, payment processor terms, accessibility review, and a written acceptance checklist for each portal. Public site inspection does not establish these controls.

Suppliers and merchandise. Provide supplier quotes, minimum order quantities, landed cost, lead times, samples, safety and labeling records, inventory ownership, returns policy, and evidence that carpets, apparel, bags, posters, and symbols are production-ready. Merchandise margin is not included in repayment capacity.

Loan and security. Provide proposed note, rate, maturity, IO period, amortization, fees, prepayment, default, reporting, collateral, security filing, guaranty, priority, and draw conditions. Confirm that no term grants equity, conversion, ownership, or control. Counsel should review the finite bonus concept if it is offered.

9. Investor questions answered directly

What is being financed? A controlled expansion of a childcare and early-learning center, completion of the provider-facing platform, marketing and onboarding, compliance and professional work, and a small merchandise launch. The $240,000 case is the recommended planning case.

What is already revenue? Current collections were not supplied. Center tuition is modeled from legacy inputs. Provider prices are visible list prices, and the expansion case is a planning sensitivity rather than paid traction. Order requests are configured; payment checkout is unconfigured. The combined repayment appendix includes daycare/church subscriptions after direct costs. Merchandise and training are potential cash channels with no contribution booked until delivered sales establish cost and collections.

Who is the borrower? The legacy package names Robert McDaniel. The legal borrower, IP holder, and entity remain to be verified. That verification is a closing condition.

What pays the lender? The intended primary source is collected center tuition after the enrollment ramp, supported by provider recurring revenue once the Hub is live and Unit 2 is delivered. Underwriting should initially count only documented center collections and should add provider receipts after settlement history exists.

When does the center cover debt? Under the current placeholder, 28 children covers center operations before debt; 34 children covers the $240,000 post-IO payment. Those thresholds change when actual payroll, rent, license limits, collection loss, and owner pay are known.

What happens if enrollment is slower? The slower 12-month case produces negative $132,480 center operating cash before debt. The $240,000 cash bridge ends at negative $29,080 after non-center spend and interest. The lender should require a reserve plan, milestone reporting, and a trigger to slow spending or restructure before the reserve is exhausted.

Why not lend $500,000 now? The center-only model does not support the $10,379.18 post-IO payment. That facility belongs to a separate scale underwriting case with verified partner economics and signed provider demand.

Is an owner contribution assumed? No. Owner cash contribution is unknown and excluded pending bank statements and a contributed-cost ledger. It should not be presented as a required closing contribution until documented.

Does the investor receive ownership? No. The planned structure is debt. There is no equity, conversion, voting right, or permanent ownership. Any finite revenue bonus must be separately documented, capped, time-limited, and reviewed by counsel.

What protections are available? The final note may address reporting, reserve maintenance, controlled disbursements, security, collateral, guaranty, and default remedies. Their availability and priority are unknown until borrower/entity and asset records are complete.

What is the strongest evidence today? The public site provides an inspectable demonstration of the brand, curriculum architecture, bilingual direction, zones, characters, portals, and store concept. It is product evidence. It is not evidence of paid provider traction, production-grade tenant controls, or settled merchandise orders.

10. Reconciliation ledger for the investor file

Retained from earlier materials: the founder name and legacy location, the host-church context, the one-director/two-teacher staffing description, prior capacity references, the provider package architecture, the center-plus-platform strategy, and the debt alternatives. These remain historical or planning inputs until records verify them.

Revised for the current file: the recommended ask is $240,000; $140,000 is a smaller alternative; $500,000 is a separate scale case. The provider mix is two Home and three Center Starter packages, producing proposed setup revenue of $11,975 and proposed monthly membership revenue of $865 at current list prices. The model uses the exact base and slower ramps above, zero provider receipts, and no owner contribution.

Retired as underwriting facts: any claim that orders are currently trading, that provider customers are paying, that merchandise margin is known, that the legal borrower or IP holder is confirmed, that a specific capacity is licensed, or that a $25,000 owner contribution is required. Those items need records or a signed agreement.

Closing checklist

Before presenting a final note request, replace the planning placeholder with actual center costs; verify entity, IP, facility, license, insurance, and staff; attach bank statements and the 13-week cash forecast; confirm the $140,000 spending timing and revised reserve plan; obtain signed provider commitments; and recompute all debt schedules from the actual draw mechanics. The appendix is ready to support an investor conversation because it shows the path to verification and the consequences of missing it. It is not a substitute for the records a lender will require.

11. Reporting package after closing

A lender should receive one short monthly package by an agreed date. It should include the bank statement, prior-month income and expense report, current enrollment by paid child, billed tuition, collected tuition, credits and refunds, payroll, rent, food, insurance, taxes, and debt payment. A separate page should show the provider funnel: inquiries, proposals, signed orders, delivered units, invoices, cash received, support hours, and cancellations. Merchandise reporting should show units ordered, units received, landed cost, units sold, cash collected, returns, and inventory on hand.

The package should compare actual results with the base and slower ramps. A variance should have an owner and a response date. Examples include pausing inventory buys when cash falls below the reserve floor, moving marketing toward the channel with verified enrollment conversion, delaying a second site until the first site has collected tuition and maintained staffing compliance, or requesting a lender review before the interest-only period ends. The operating center, provider service, and merchandise should remain separate cost centers so a profitable-looking platform line does not hide a center shortfall.

The portal is a meaningful part of the value proposition, but completion is a delivery event rather than a revenue event. The company should document the Hub and Unit 2 acceptance criteria, role access, bilingual content review, support response time, backup test, and tenant separation before billing a provider. A provider invoice should not be counted as collected revenue until the customer has accepted delivery and the settlement appears in the bank account. This policy makes the bridge slower than a sales deck, while giving the lender a cleaner repayment signal.

12. Decision gates for each financing alternative

For $140,000, the first gate is a verified minimum operating budget and enough cash to cover the early center deficit. Because the illustrative base ending cash is only $2,880, the borrower should either reduce the initial spend, document additional cash, or agree on a smaller staged draw. The second gate is license and staffing verification. The third is evidence that enrollment collections are tracking the base ramp before nonessential merchandise spending begins.

For $240,000, the facility should be divided into a center runway, a portal delivery tranche, a marketing tranche, and a reserve that requires lender consent to use. A sensible release condition is a signed monthly budget and an invoice for each non-center draw. Before month 10, management should present actual enrollment and collections against the month-12 threshold. If the base trajectory is not developing, the parties should revisit the post-IO payment before the amortization clock begins.

For $500,000, the first gate is a separate scale memo. It should include a partner-site or provider contract, implementation cost per site, staffing plan, support capacity, a tested customer-acquisition channel, and a 13-week cash forecast that includes the $10,379.18 payment. A second site or merchandise inventory cannot serve as its own evidence of repayment. This tier is attractive only if documented partner cash flow makes the larger facility less dependent on one center.

These gates protect the mission as well as the lender. They allow the founder to show progress through delivery, collections, and safe enrollment rather than through uncollected promises. They also give an investor a clear point at which to ask for revised numbers instead of relying on a stale first-year forecast.

HISTORICAL REFERENCE | Current controls at front supersede financial, scope and readiness assumptions.

Partner expansion & repayment

Daycares and churches

Center cash plus licenses, support and other commercial channels.

EVIDENCE KEY

Verified: source or test recorded. Configured: setup exists. Proposed: terms to agree. Planned: delivery or acceptance outstanding. Each claim carries its own status in the text.

LEARN

MOVE

EXPLORE

BELONG

Repayment is intended to come from two businesses: the operating center and a growing base of paying daycares and church programs. This 24-month model combines them and tests slower sales, lower contribution and setup fees absorbed entirely by delivery costs. Its assumptions are proposals, not current results.

Inputs and boundaries

The model uses the current visible prices: Home **$1,495 setup / $89 monthly**, Center Starter **$2,995 / $229**, and Center Complete **$5,995 / $349**. It uses a planning mix of 40% Home, 40% Starter, and 20% Complete, producing a weighted subscription price of **$197 per active site per month**. Church equivalents are modeled at the Starter and Complete prices only as a sensitivity; there is no claimed church tariff until a separate quote and scope exist.

Recurring contribution is tested at 40% and 60% of collected subscription revenue after support, curriculum updates, hosting, payment costs, and delivery labor. Setup contribution is tested at 10% and zero, allowing a full setup-cost sensitivity. A 2% monthly churn rate applies to active subscriptions. A $500 monthly B2B overhead placeholder begins at each rollout launch (month 7 for delayed). Marketing is not added again: the original $115,000 non-center cash bridge already includes the planned marketing, operations, portal, and merchandise spend.

The center is carried separately: months 1-12 use the existing base/downside center cash series; after month 12, the conditional steady cases are $5,060 per month at 34 children and negative $3,340 at 24 children. Debt is the existing $240,000 illustration: $1,800 interest-only for 12 months, then $4,982.01 monthly for 60 months. Setup receipts are one-time cash and never described as residual income. Merchandise, training, and separate licensing contribution remain zero until quotes and delivery costs exist.

Rollout cases

- **Measured:** launch in month 4, acquire one site monthly through month 8, then pause. This reaches 4.43 active sites in month 12 after churn.
- **Delayed:** launch in month 7, acquire one site monthly through month 11. This reaches 4.71 active sites in month 12 after churn.
- **Growth:** launch in month 4, acquire two sites monthly through month 8 and one monthly thereafter. This reaches 12.74 active sites in month 12 and 20.76 by month 24 after churn.

These are cadence tests, not sales claims. The existing “five provider customers by month 12” case is closest to the measured/delayed scale; it remains a target until paid orders settle.

What the model says

At 40% recurring contribution, steady 34-child center operations require about **22 active paid sites** for 1.25x coverage of the $4,982.01 amortizing payment after the $500 B2B overhead. At 60% contribution, the requirement is about **15 sites**. Under the 24-child downside center, the requirement rises to **128 sites at 40% contribution** or **86 sites at 60% contribution**. This is the most useful investor answer: partner expansion can become a repayment engine, but it must reach a measurable active-site scale and contribution margin.

The measured and delayed cases do not solve the downside. Their month-12 provider contribution is small and the post-month-12 center downside remains negative. Growth reaches 20.76 active sites by month 24: that exceeds the 15-site base-center threshold at a 60% recurring contribution margin, but remains below the 22-site threshold at 40%. This is a sensitivity, not underwritten coverage; the zero-setup-contribution and downside cases still require proof.

The combined center and partner model produces these results at a 60% recurring contribution margin and 10% setup contribution:

Rollout (60% margin, 10% setup contribution)	Month 12 base net	Month 24 base net	Month 24 base cash
Measured	$3,283.75	($11.02)	$30,224.74
Delayed	$3,316.47	$14.66	$30,466.43
Growth	$4,565.80	$2,331.83	$60,500.18

The zero-setup-contribution sensitivity leaves recurring results unchanged and reduces cumulative cash by the assumed one-time setup contribution. For measured, month-24 base cash is $28,727.24; for growth it is $52,713.18. Recurring-only coverage remains 22 active sites at 40% margin and 15 at 60% in the 34-child base center; the 24-child downside requires 128 and 86 respectively.

The calculator reports monthly net after debt and cumulative cash including the original $240,000 opening balance and $115,000 first-year non-center spend. Growth at 60% produces about $4,090.57 recurring gross at month 24 and 20.76 active sites; recurring-only performance is separated from one-time setup receipts. This exposes the operating requirement: recurring sales must continue, renewals must be managed, and the center must reach stable coverage. A launch burst followed by a sales pause is not a repayment plan.

Recurring coverage and limits

At month 24, the growth case has $4,090.57 of monthly subscription revenue. At 60% contribution, that leaves $2,454.34 before the separate $500 overhead. Combined with $5,060 center cash, recurring-only coverage is 1.41x. At 40%, it is 1.24x. The month-24 $299.50 setup contribution raises cash but is excluded from recurring coverage. Fractional sites are expected account equivalents after churn; an actual customer register contains whole sites. The 20.76 modeled accounts translate to an operating target of about 21 active sites. Coverage thresholds round up to whole paid sites. These are planning sensitivities; paid contracts are unverified and owner pay and taxes remain unresolved.

Monthly fees begin only when the contracted Hub access and Unit 2 delivery conditions are met. The rollout dates assume those conditions are satisfied; the delayed case moves launch to month 7. These tests do not prove a ready-to-bill service. The 2% monthly churn assumption retains about 78.5% of an opening cohort over twelve months. Renewal quality therefore matters as much as new sales.

Year-two calculations hold center costs, prices and support margins constant. They include $500 monthly partner overhead, but no additional second-year marketing, inventory, tax, omitted owner pay or capital spending. Those budgets and the actual support cost must replace the placeholders before this becomes a financing forecast. Negative cash in downside cases represents a funding shortfall, not permission to operate without funds. Both growth-margin cases remain unable to rescue the 24-child center downside.

The larger $500,000 facility is not offered for immediate draw. Its illustration needs approximately 72 active sites at 60% contribution or 107 at 40% for 1.25x recurring coverage alongside the same 34-child center and $500 overhead. This is a steady-state threshold only, not a $500,000 cash forecast. The current 24-month rollout does not reach it. A staged expansion facility needs its own acquisition, cash and staffing schedule.

Additional receipts without permanent ownership

Channel	Payment design	Evidence before repayment credit
Daycare and home-provider subscriptions	Monthly curriculum, updates and contracted support	Active paid account, collected invoice, delivery/support cost and renewal
Church program licenses	Fixed-term program license and scoped support; price by use	Signed weekday/Sunday/midweek scope, service cost and settled recurring invoice
Additional sites or support tiers	Per-location license or separately priced service level	Capacity to serve each location; avoid charging twice for included support
Advanced staff training	Per-seat or contracted renewal training	Accepted training, named delivery staff, direct cost; included courses excluded
Replacement kits, books, apparel and classroom materials	Repeat purchases; custom work uses deposits and approval	Supplier quote, freight, safety, rights, returns and fulfilled order
Employer or community sponsorship	Time-limited service contract	Signed buyer, defined deliverables, collections and cost

Merchandise and training can supplement cash; they are not modeled as guaranteed monthly income. No margin is added until it can be traced to a delivered sale. The financing remains a loan. No equity, conversion, permanent profit participation, voting right or ownership percentage is offered. Any higher-tier revenue-linked bonus would require a defined term, dollar cap, payment base and legal review; it is excluded from the illustrated loan schedules.

What makes expansion investable

Expansion funds should be tied to delivered, paid pilots. For each partner, retain the signed scope, setup deposit, onboarding hours, direct material and freight cost, staff completion, first invoice, settled payment, support hours, cancellation status, and 30-day review. Report active paid sites and collected recurring contribution monthly. Do not count proposals, demos, unpaid invoices, church interest, or catalog prices.

The next evidence milestone is one paid Home or center implementation delivered at known cost. The following milestone is five active paid sites with one renewal or a documented 90-day usage review. Only after that should the lender consider the growth cadence or a second-stage facility. A church deal should be priced and contracted separately because its room access, staffing, insurance, and support requirements may differ from a daycare or home provider.

Reproduction

partner-repayment-model.py is an independently runnable Decimal calculator. It writes partner-repayment-monthly.csv and partner-repayment-model.json. The CSV contains month-by-month acquisition, churn, active sites, setup gross receipts, recurring gross receipts, tested contribution, B2B overhead, and combined center/debt results for all three rollout cases. The JSON records the assumptions and coverage thresholds so an investor can change cadence, churn, prices, or contribution without editing the core financial model.

The center-only reference bridge remains available for comparison. This combined sensitivity is part of the business plan and shows the partner-sales requirement explicitly. The attached JSON and CSV contain all twelve rollout/margin/setup combinations.